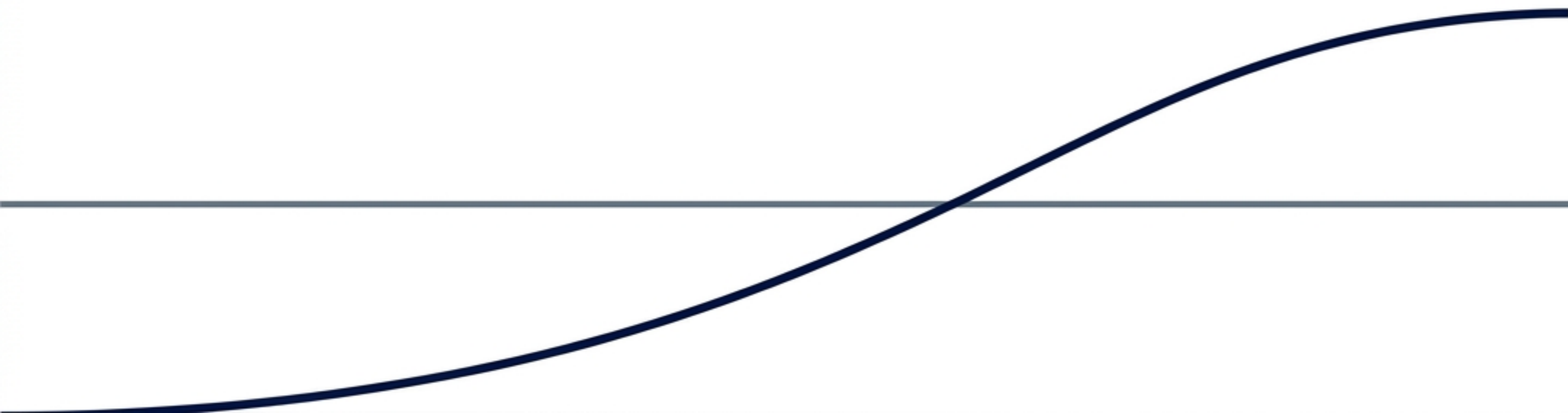


The Innovation Paradox

Execution, Elicitation, and the Threat of Disruption



The Three Layers of Product Building



Infrastructure
Secure, frictionless
delivery.



Elicitation
Listening exactly to
the market.



Disruption
Navigating the
unknown.

Execution and elicitation sustain us. Disruption redefines us.

Secure, Continuous Delivery

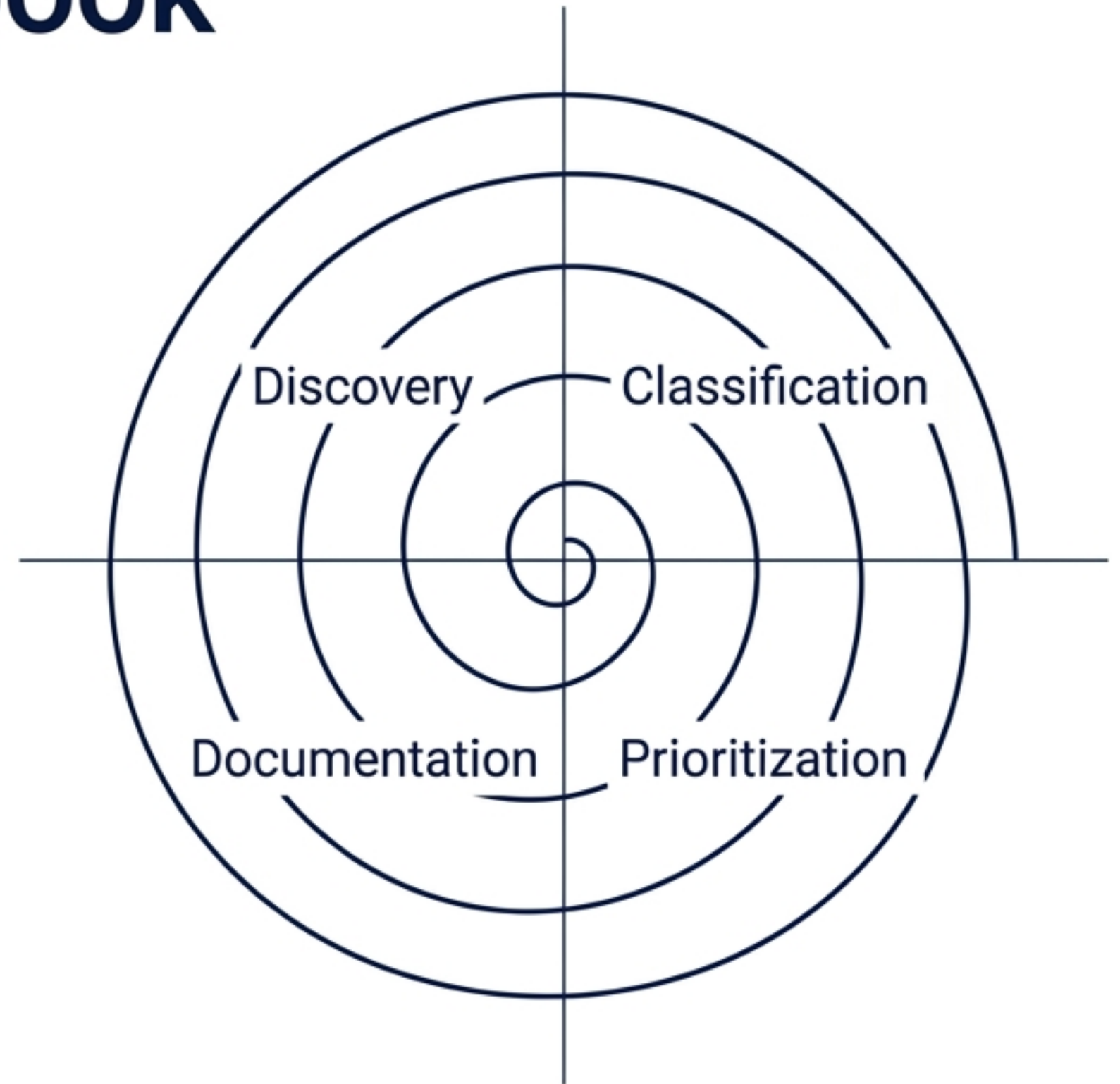


- `git push`: Instantly updates remote branches with local commits.
- **Authentication**: Passwords are obsolete.
- **Fine-Grained PATs**: Granular, expiring access over broad classic tokens.

**Modern development requires secure, frictionless,
and continuous integration.**

The Sustaining Playbook

- Discovering exact customer needs.
- Classifying and organizing unstructured data.
- Prioritizing through stakeholder negotiation.



We iterate by discovering exactly what our best customers want.

Eliciting Market Needs



Interviews

- Discovering explicit needs.
- Subject to predefined agendas.



Ethnography

- Observing implicit workflows.
- Discovering how people actually work.

Observation reveals the critical work patterns that customers cannot articulate.

The Trap of Good Management

“Listening perfectly to your best customers is exactly what causes great companies to fail.”

Flawless execution and exact requirements lead directly to the Innovator's Dilemma.

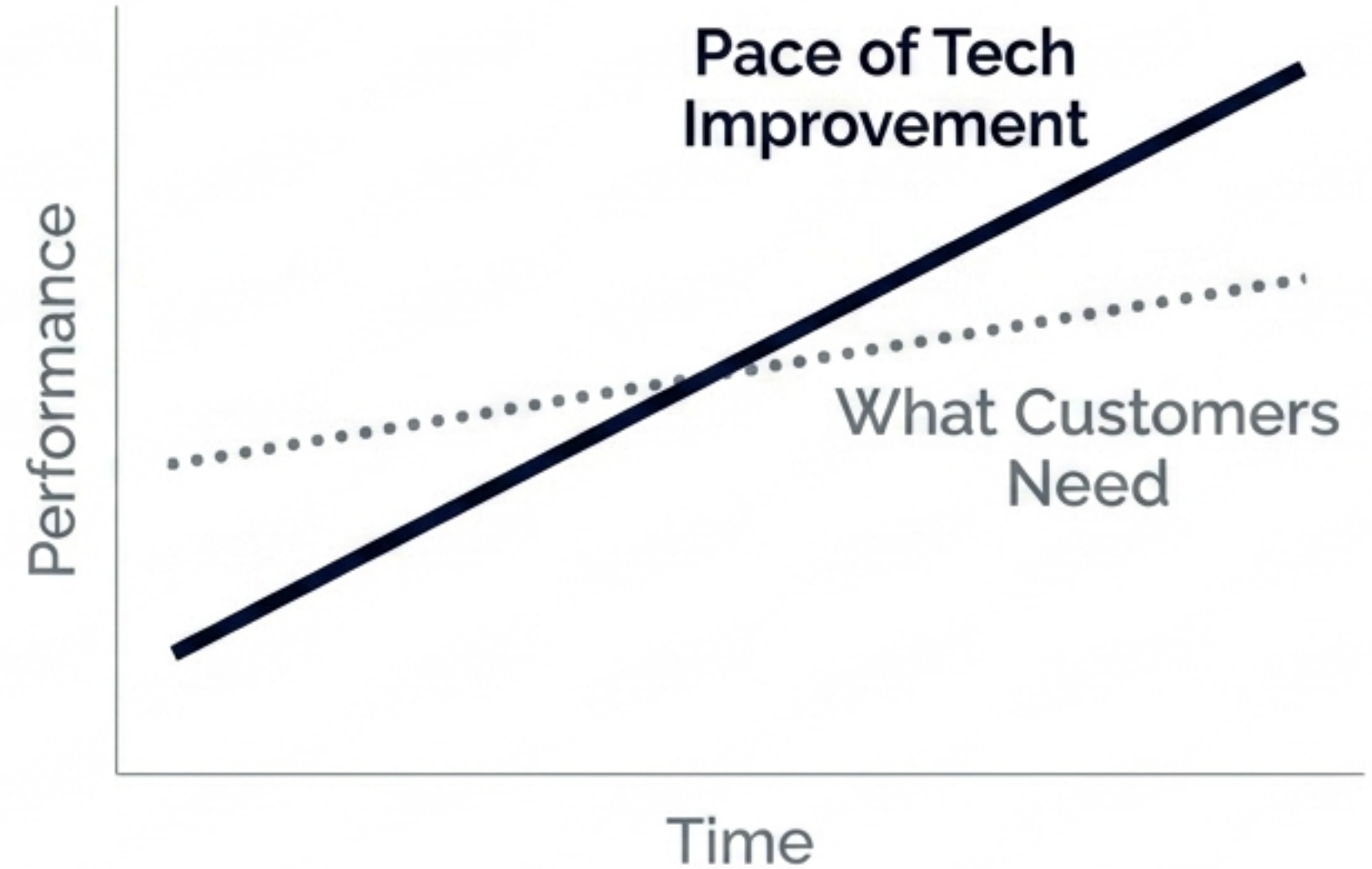
Sustaining vs. Disruptive

Sustaining Tech	Disruptive Tech
• Improves current performance.	• Simpler, cheaper, initially inferior.
• High profit margins.	• Low profit margins.
• Targets mainstream customers.	• Targets fringe or new customers.
• Result: Established firms win.	• Result: Entrant firms win.

Disruptive technology requires a completely different management playbook.

Performance Oversupply

- Technology consistently outpaces human need.
- Today's inferior product is tomorrow's mainstream standard.



The initial weaknesses of disruptive tech (simpler, cheaper) become its future strengths.

Trapped in the Value Network

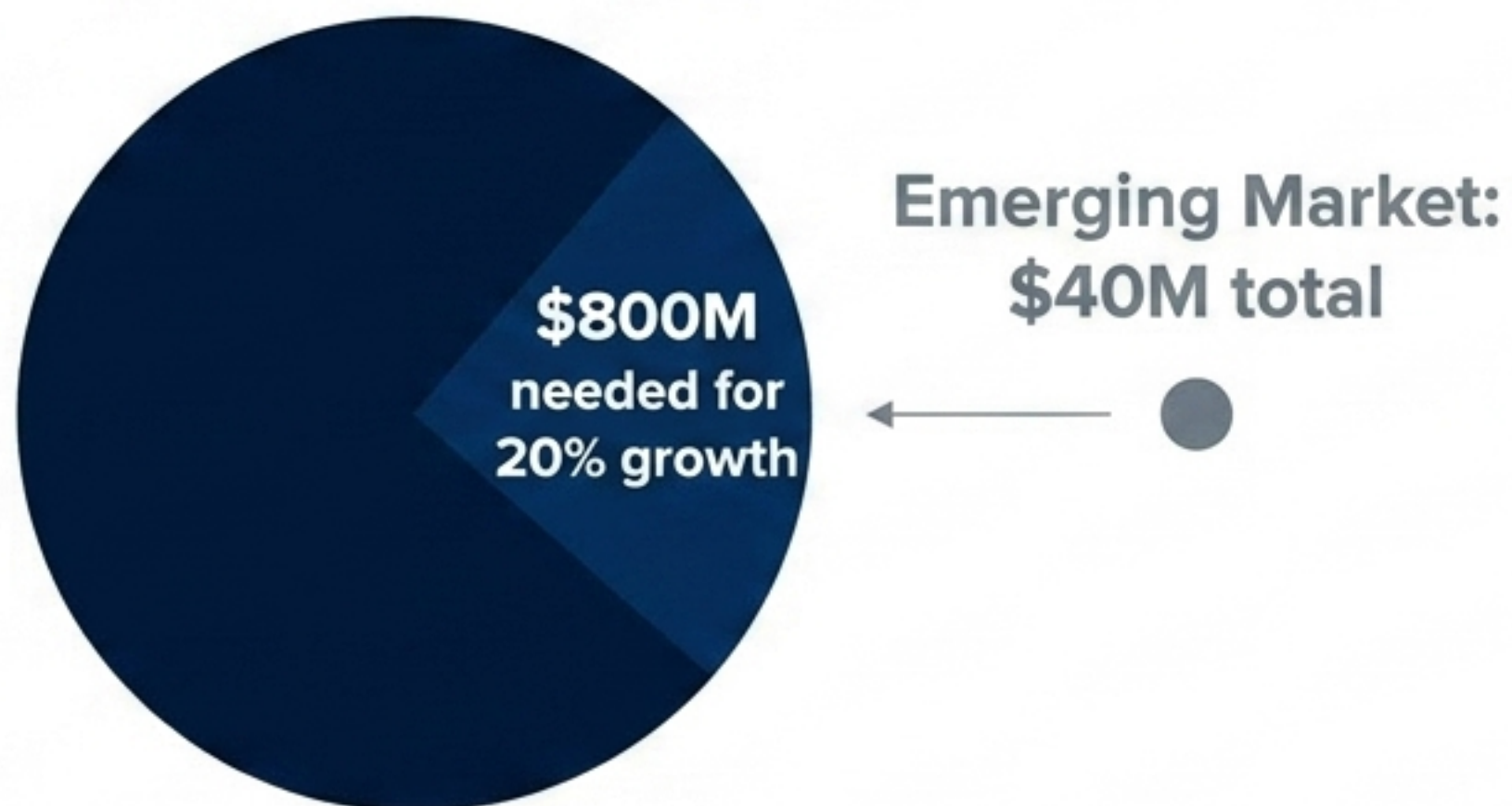
- Cost structures demand high margins.
- Current customers reject disruptive features.
- Internal resource allocation starves low-margin projects.



Established firms are held hostage by their own financial success and their best customers.

The Math of Slower Growth

\$4 Billion Company

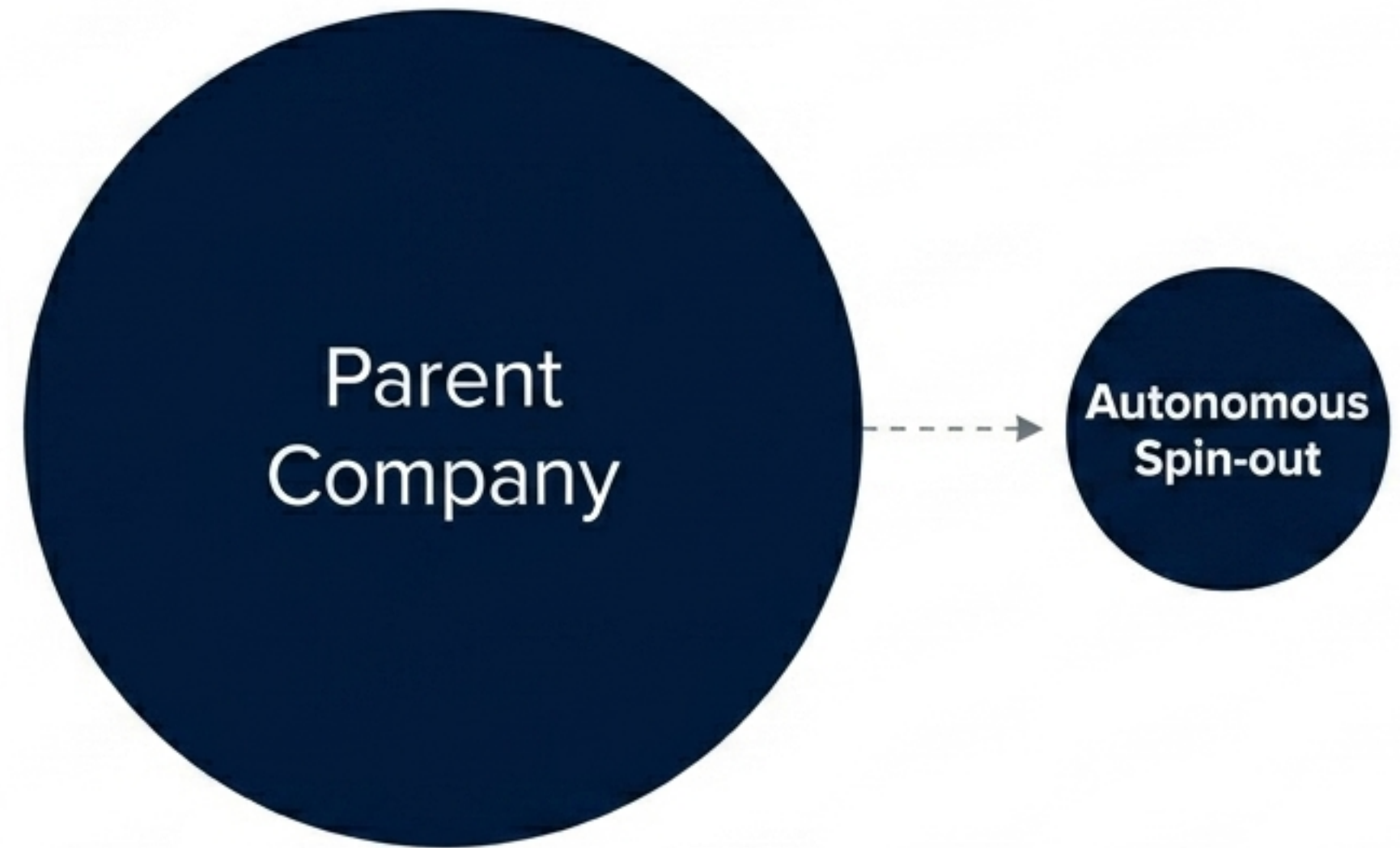


- Emerging markets are mathematically too small.
- Large companies cannot **justify early entry.**
- Waiting until the market is big enough is fatal.

Small markets cannot solve the growth needs of giant organizations.

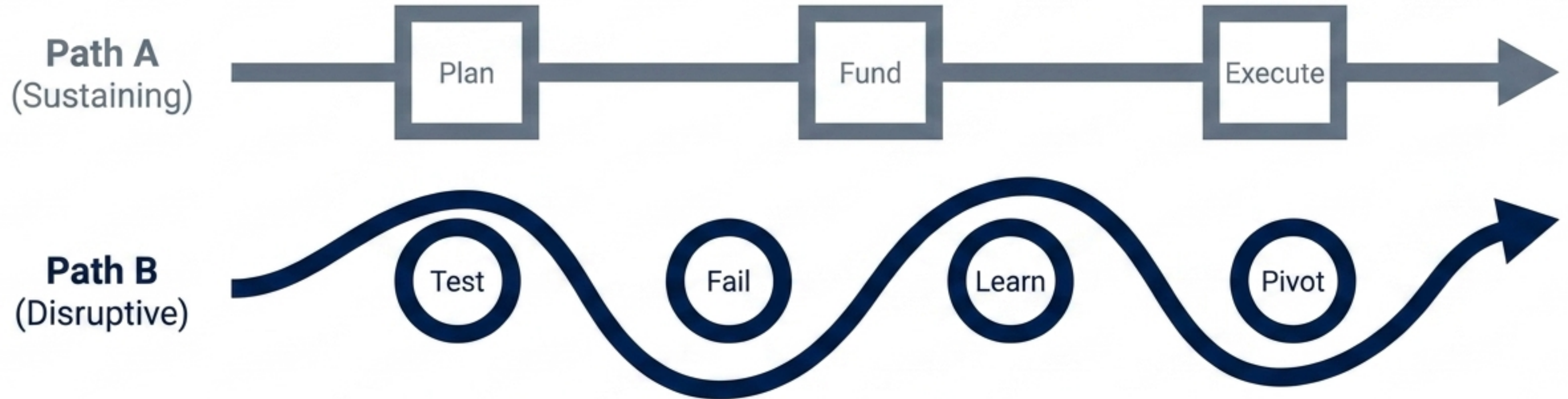
Match Organizational Size to Market Size

- Create totally autonomous organizations.
- Align cost structures to survive on lower margins.
- Protect the team from mainstream resource allocation.



**Never leverage mainstream corporate values
for disruptive, low-margin tasks.**

Plan to Learn, Not to Execute



- Markets that don't exist cannot be analyzed.
- Initial forecasts will always be wrong.
- Preserve capital for multiple iterations.

Agnostic marketing: discover applications by watching, not asking.

The Duality of Leadership



To Sustain

- Use exact workflows (Git).
- Gather exact requirements (Ethnography).
- Listen to best customers.

To Disrupt

- Spin out small teams.
- Target fringe, unproven markets.
- Plan for early failure.

A successful organization must simultaneously master both games.